

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Government of Saskatchewan's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Government of Saskatchewan's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Government of Saskatchewan to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Government of Saskatchewan to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the consolidated financial statement audit. We are solely responsible for the auditor's opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control identified during the audit. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Regina, Saskatchewan
June 18, 2020



JUDY FERGUSON, FCPA, FCA
Provincial Auditor
Office of the Provincial Auditor

Statement of Financial Position

As at March 31, 2020

(thousands of dollars)

	2020	2019 (Restated)
Financial Assets		
Cash and temporary investments (<i>note 4</i>)	2,736,481	2,764,538
Accounts receivable (<i>schedule 1</i>)	1,665,500	1,842,030
Loans receivable (<i>schedule 2</i>)	469,177	442,811
Investment in government business enterprises (<i>schedule 3</i>)	6,840,053	6,667,595
Other investments (<i>schedule 4</i>)	388,231	458,178
Other financial assets	4,903	7,178
Total Financial Assets	12,104,345	12,182,330
Liabilities		
Accounts payable and accrued liabilities (<i>schedule 5</i>)	3,003,392	3,240,356
Unearned revenue (<i>schedule 6</i>)	179,700	148,844
Pension liabilities (<i>note 5</i>)(<i>schedule 7</i>)	7,152,321	7,322,547
General debt (<i>schedule 8</i>)	12,199,259	11,039,913
Obligations under long-term financing arrangements (<i>schedule 10</i>)	1,472,341	1,998,881
Other liabilities (<i>schedule 11</i>)	386,213	260,662
Total Liabilities	24,393,226	24,011,203
Net Debt	(12,288,881)	(11,828,873)
Non-Financial Assets		
Tangible capital assets (<i>schedule 12</i>)	11,858,796	11,756,122
Inventories held for consumption	182,904	175,250
Prepaid expenses	55,864	52,253
Total Non-Financial Assets	12,097,564	11,983,625
Accumulated (Deficit) Surplus	(191,317)	154,752
Contractual rights (<i>note 7</i>)		
Contingent assets (<i>note 8</i>)		
Contractual obligations (<i>note 9</i>)		
Contingent liabilities (<i>note 10</i>)		
Restatement (<i>note 11</i>)		

The accompanying notes and schedules are an integral part of these financial statements.

Statement of Operations

For the Year Ended March 31, 2020

(thousands of dollars)

	2020		2019
	Budget	Actual	Actual (Restated)
Revenue			
Taxation	7,588,500	7,553,272	7,116,672
Non-renewable resources	1,826,800	1,750,298	1,735,123
Net income from government business enterprises (<i>schedule 3</i>)	1,080,500	855,369	1,011,229
Other own-source	2,062,100	2,138,392	2,128,280
Transfers from the federal government	2,467,200	2,589,806	2,510,278
Total Revenue (<i>schedule 13</i>)	15,025,100	14,887,137	14,501,582
Expense			
Health	5,888,200	6,051,358	5,847,595
Education	3,282,500	3,501,562	3,382,721
Social services and assistance	1,432,700	1,436,348	1,398,785
Protection of persons and property	701,100	787,087	780,172
Financing charges (<i>schedule 15</i>)	694,400	674,967	646,925
Community development	681,200	641,435	590,000
Agriculture	841,500	633,037	666,645
Transportation	532,100	545,491	538,483
Economic development	227,300	232,560	224,913
Environment and natural resources	263,900	196,699	196,139
Other	445,800	505,918	497,113
Total Expense (<i>schedule 14</i>)	14,990,700	15,206,462	14,769,491
(Deficit) Surplus	34,400	(319,325)	(267,909)

The accompanying notes and schedules are an integral part of these financial statements.

Statement of Accumulated Deficit

For the Year Ended March 31, 2020

(thousands of dollars)

	2020		2019
	Budget	Actual	Actual (Restated)
Accumulated surplus, beginning of year	154,752	154,752	310,962
Adjustment to accumulated surplus, beginning of year (<i>note 12</i>)	-	(94,269)	88,390
(Deficit) Surplus	34,400	(319,325)	(267,909)
Other comprehensive income (<i>schedule 3</i>)	-	67,525	23,309
Accumulated (Deficit) Surplus, End of Year	189,152	(191,317)	154,752

Statement of Change in Net Debt

For the Year Ended March 31, 2020

(thousands of dollars)

	2020		2019
	Budget	Actual	Actual (Restated)
(Deficit) Surplus	34,400	(319,325)	(267,909)
Tangible Capital Assets (<i>schedule 12</i>)			
Acquisitions	(920,300)	(843,024)	(1,029,370)
Amortization	655,300	597,072	604,991
Disposals	-	11,828	12,235
Write-downs	-	11,501	9,437
Adjustments	-	119,949	7,077
Net acquisition of tangible capital assets	(265,000)	(102,674)	(395,630)
Net (acquisition) use of other non-financial assets	-	(11,265)	6,369
Increase in net debt from operations	(230,600)	(433,264)	(657,170)
Adjustment to accumulated surplus, beginning of year (<i>note 12</i>)	-	(94,269)	88,390
Other comprehensive income (<i>schedule 3</i>)	-	67,525	23,309
Increase in net debt	(230,600)	(460,008)	(545,471)
Net debt, beginning of year	(11,828,873)	(11,828,873)	(11,283,402)
Net Debt, End of Year	(12,059,473)	(12,288,881)	(11,828,873)

The accompanying notes and schedules are an integral part of these financial statements.